

Ellan Vannin Wealth Management

Strategic Energy Investment Memorandum

The British LNG Flexibility Fund

Mobile Gas Power, Energy Security & Grid Balancing Infrastructure

A Sovereign Infrastructure Investment Proposal for the United Kingdom

Executive Summary

Ellan Vannin Wealth Management (EVWM) proposes the creation of the:

British LNG Flexibility Fund (BLFF)

A strategic energy investment platform focused on using **liquefied natural gas (LNG)** as a flexible, mobile electricity generation asset for the British grid.

The investment thesis:

Britain will increasingly require fast-response electricity generation to support a renewable-heavy grid. LNG-powered mobile generation can provide reliable backup capacity, grid balancing, and emergency energy security while renewable infrastructure expands.

The proposal is not based on LNG as a permanent replacement for renewables.

Instead, LNG becomes a **strategic reserve asset**:

- stored energy
- dispatchable power
- mobile generation
- industrial resilience
- grid stabilisation

The UK already has LNG import infrastructure and LNG storage assets, while National Grid increasingly operates flexibility markets where generators, storage operators and flexible assets can be paid for supporting the electricity system.

1. Strategic Context

The Problem

Britain's electricity system is undergoing a major structural change.

The future grid will contain:

- offshore wind
- solar
- nuclear
- batteries
- interconnectors
- flexible generation

The challenge:

Renewable generation is variable.

Wind can fall rapidly.

Solar disappears overnight.

Demand peaks in winter evenings.

Therefore Britain requires:

Flexible Power

Power that can be switched on when required.

National Grid already procures flexibility services from generators, batteries and other assets to manage constraints and peak demand.

2. The Investment Thesis

Traditional power stations:

- large
- fixed location
- expensive
- slow to build

EVWM proposes a different model:

Energy Infrastructure as a Mobile Asset Class

Similar to:

- shipping fleets

- aircraft leasing
- data centres

The fund owns fleets of LNG-powered generators that can be deployed where electricity is most valuable.

3. The British LNG Flexibility Fund

Initial Fund Size

£1.5 billion

Investment portfolio:

Asset	Investment
Mobile LNG generators	£800m
LNG storage infrastructure	£300m
Grid connection assets	£200m
Maintenance facilities	£100m
Energy trading platform	£100m

4. Mobile LNG Power Fleet

Concept

Develop a fleet of modular LNG generators.

Each unit:

- containerised
- transportable
- rapid deployment
- grid-connected

Locations:

- industrial estates
 - ports
 - former power stations
 - strategic grid nodes
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Example Unit

50MW LNG Generator Module

Specification:

Feature	Value
Output	50MW
Deployment time	Weeks/months
Start-up	Minutes
Fuel	LNG
Operating life	25 years

A fleet:

20 × 50MW units

would create:

1GW flexible capacity

5. Where Would They Be Located?

Strategic locations:

North West England

- Liverpool
- Manchester
- Merseyside
- Cheshire

Reason:

Large industrial demand.

Yorkshire

- Sheffield
- Leeds
- Humber

Reason:

Industrial transition.

East Coast

- Teesside
- Lincolnshire

Reason:

Renewable energy balancing.

Scotland

- industrial clusters
 - remote grid support
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6. Grid Trading Model

The fund does not simply sell electricity.

It participates in multiple markets.

Revenue Stream 1

Electricity Sales

Generate when:

- demand is high
- renewable output is low
- prices increase

Example:

Normal electricity price:

£60/MWh

Peak shortage:

£200–300/MWh

Revenue Stream 2

Capacity Payments

The grid pays for having reliable generation available.

Income:

Annual availability payments.

Revenue Stream 3

Grid Balancing

National Grid pays flexible assets to:

- increase output
- reduce stress
- stabilise frequency

Flexibility markets already allow generators and storage providers to participate.

Revenue Stream 4

Industrial Power Contracts

Long-term contracts with:

- factories
 - data centres
 - logistics hubs
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7. Example Economics

1GW Fleet

Capital:

£1.5bn

Annual operation:

Assume:

2,500 operating hours

Average output:

500MW

Generation:

1.25TWh/year

Revenue:

Source	Annual
Electricity sales	£120m
Capacity payments	£80m
Balancing services	£70m
Industrial contracts	£50m

Total Revenue

£320 million/year

Operating costs:

£150m

EBITDA:

£170 million/year

Long-term infrastructure return:

Approx.

8–12%

8. LNG Security Strategy

The fund would also invest in LNG supply resilience.

Assets:

- LNG storage tanks
- tanker contracts
- import agreements
- strategic reserves

The UK already operates LNG import infrastructure, including major terminals, giving a foundation for additional flexibility investment.

9. Integration With Renewable Energy

The misconception:

"LNG competes with renewables."

The EVWM model:

"LNG enables renewables."

Example:

A windy day:

- wind farms produce cheap electricity
- LNG generators idle

A cold still evening:

- wind output falls
- LNG activates

The result:

More renewable capacity can be integrated without compromising reliability.

10. Future Development

LNG + Hydrogen Conversion

Future assets can transition toward:

- hydrogen blends
- renewable methane
- synthetic gas

The investment therefore becomes a transition asset.

11. Economic Benefits

Energy Security

Benefits:

- reduced blackout risk
 - industrial resilience
 - emergency capacity
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Industrial Growth

Supports:

- manufacturing
 - AI/data centres
 - electrification
 - hydrogen production
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Regional Investment

The fund creates:

- engineering jobs
 - maintenance hubs
 - energy trading roles
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Employment Impact

Direct:

2,000 jobs

Supply chain:

5,000+ jobs

12. Strategic Fit With EVWM

The LNG Flexibility Fund fits the wider EVWM investment philosophy:

Own strategic infrastructure.

Previous proposals:

- railways
- tidal energy
- tourism assets
- urban regeneration

This adds:

Energy Security Infrastructure

Final Recommendation

Ellan Vannin Wealth Management should establish:

The British LNG Flexibility Fund

A sovereign-style energy investment vehicle owning a national fleet of mobile LNG power assets.

The objective:

Create Britain's equivalent of a strategic energy reserve, not through stored oil or emergency coal, but through modern flexible electricity infrastructure.

The fund would generate returns by solving one of Britain's biggest future challenges:

How do you maintain reliable electricity while moving toward a renewable energy system?

The answer:

A flexible, investable, mobile power network capable of delivering electricity wherever and whenever Britain needs it.